

Multiple Choice (10 marks)

1. If nominal GDP equals \$6000 and the GDP deflator equals 200 then real GDP equals
 - (a) \$30
 - (b) \$3,000
 - (c) \$12,000
 - (d) \$1,200
2. Usually, the supply curve of firms operating under conditions of perfect competition in product market would be identified as
 - (a) perfectly vertical in the long run.
 - (b) perfectly horizontal in the short run.
 - (c) more elastic in the long run.
 - (d) more elastic in the short run.
3. Which of the following is the most likely to be a deterrent to growth in the economy?
 - (a) Spending on education and training
 - (b) Increases in capital
 - (c) Increases in the interest rate
 - (d) Expenditures on research and development
4. GDP measures
 - (a) production within a nation's borders.
 - (b) production by a nation's citizens wherever they may be.
 - (c) income earned by the factors of production plus depreciation and indirect business taxes.
 - (d) (A) and (C)
5. On a bank's balance sheet which of the following is considered a liability?
 - (a) Required reserves
 - (b) Excess reserves
 - (c) Loans
 - (d) Deposits

True / False (10 marks)

Answer True or False

6. True or False: A decline in the quality of higher education will enhance a nation's production possibility frontier.
7. True or False: Raising the price of a product is an effective way for a corporation to gain market share in a foreign market.
8. True or False: In a centrally planned economic system, government planners decide how best to produce goods and services.
9. True or False: Lowering reserve requirements allows banks to make more loans and buy more investments, thus increasing the money supply.
10. True or False: An oligopolist faces a demand curve with two discontinuous segments when rivals match price decreases but not increases.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of economic rent and analyze how a superstar basketball player's \$50 million earnings exemplify this concept in the context of supply and demand in sports.
12. Discuss how high inflation in the European Union compared to stable prices in the United States affects the value of the U.S. dollar in global currency markets.

End of Paper